

# Australian tuition fee review 'must go back to first principles'

Policymakers will need to work out exactly what 'equity' means before entrenching it in new funding arrangements

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Australia must go back to first principles in setting tertiary education fees and subsidies, analysts said, as a review of the Job-ready Graduates (JRG) reforms becomes entangled in a sweeping evaluation of the university system.

JRG, introduced by the now-ousted Coalition government, more than doubled fees for humanities courses (<https://www.timeshighereducation.com/news/australian-shake-greatest-hit-humanities-century>), using the threat of hefty tuition debt to

shepherd students into fields thought to have better employment outcomes. The legislation included a requirement to review the reforms after 18 months – something the incumbent Labor government intends to do as part of a broader “universities accord” process.

The Innovative Research Universities (IRU) group said that equity should be “front and centre” of any changes to JRG. But first, someone will have to “unpack what equity means”.

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IRU executive director Paul Harris said equity could be viewed through different prisms, and each involved trade-offs. “You could have a system where students all paid the same contribution, but then they wouldn’t be paying the same contribution as a percentage of the total cost of their course



Source: Getty

or their graduate earnings,” he said.

“We think there needs to be a broader discussion about this, and people should be upfront about the principles and the evidence they’re drawing on.”

The accord itself was flagged (<https://www.timeshighereducation.com/news/labor-stop-bickering-australian-university-policy>) by former shadow education minister Tanya Plibersek, who said Labor would enlist a “small group of eminent Australians from across the political spectrum” to help stop the “political bickering” over higher education policy. Education minister Jason Clare has promised (<https://ministers.education.gov.au/clare/speech-12th-national-conference-university-governance>) details of the panellists and their terms of reference, vowing that equity will be a “big part” of the accord.

IRU has released a discussion paper (<https://iru.edu.au/wp-content/uploads/2022/09/IRU-Discussion-Paper-JRG-September-2022.pdf>) modelling new ways of determining fees and subsidies. One approach imposes fees of about A\$20,000 (£11,000) a year for courses with high graduate salaries, and A\$10,000 for those with “low or medium” employment outcomes.

Students in the latter band would pay proportionally higher contributions towards inexpensive degrees and a smaller share of more resource-intensive courses – leaving them effectively shouldering the same fees. This scenario “has clear benefits in terms of simplicity and predictability, but it would be contestable on equity grounds”, the paper points out.

Mr Harris said IRU had endeavoured to “map out some of the underlying principles and trade-offs” rather than producing fully fledged answers. He said discussions about reforming the current system inevitably led to debate about the appropriate balance between public and private contributions, and the accord was “probably the right place to have that broader debate”.

University of Melbourne (<https://www.timeshighereducation.com/world-university-rankings/university-melbourne>) student Maxwell Yong, whose analysis of university applications found that the JRG fee changes had barely influenced students’ choice of courses (<https://www.timeshighereducation.com/news/universities-decline-cash-australian-fee-hikes>), said that the government would need to decide the “key philosophy” underpinning course funding arrangements.

Mr Yong favoured the alignment of fees with expected graduate earnings, with scholarships used to encourage study by certain groups or in certain courses. “If you want to incentivise, give them something that they can bank on today,” he said.

Mr Yong said disincentives such as prohibitively high fees should be avoided, with his analysis showing that they “didn’t really work”. Resurrecting pre-JRG fees and subsidies was not an option either, because the government would face the cost of “grandfathering” lower fees. But it could avoid these extra costs by phasing in changes over several years, which would also allow current high school students to factor looming fee hikes into their study plans.

James Cook University (<https://www.timeshighereducation.com/world-university-rankings/james-cook-university>) vice-chancellor Simon Biggs said he suspected that JRG had affected course choices in regions such as northern Queensland, where more than 25 per cent of students were socio-economically disadvantaged and 70 per cent were the first in their families to attend university.

He said a pre-existing decline in humanities study seemed to have firmed under JRG. “These young people and their parents are not keen to take on debt unless they can see where it takes them,” he said.

But Professor Biggs said the accord must go beyond reshuffling fees and subsidies to engender funding arrangements that “reflect the region in which we operate”. He said the closest capital city to his Townsville base was Port Moresby in Papua New Guinea, and – unlike people in Australian capitals, where at least half of school-leavers aspired to university – just 28 per cent of North Queenslanders left school with tertiary admission scores.

Funding arrangements should address such challenges by allowing teaching subsidies to finance enabling places, for example. “Enabling places don’t carry any debt,” Professor Biggs explained. “You could use them to beef up maths and English skills and give people a taste of university.”

He said the accord must do more than “tinker at the edges, not really getting anything done. It is an opportunity to have a bolder conversation. I’m just not sure whether the sector is ready for it.”

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